

Government Subcontracting Quick Reference Guide

1. Understanding Subcontracting

- **Prime vs. Subcontractor:** A prime contractor holds a contract directly with the government, while a subcontractor collaborates with a prime contractor to fulfill parts of that contract.
- **Why Subcontract?** It is often easier for small businesses to enter government contracting as a subcontractor before pursuing prime opportunities. It also helps small businesses build their experience and past performances.

2. Key Benefits for Small Businesses

- Lower barrier to entry than prime contracting.
- Opportunity to gain experience / past performance with Federal/State/Local government.
- Can build relationships with large Prime Contractors for future contracts.
- May qualify under small business set-aside goals that Prime Contractors must meet.
- Lower business development costs and fewer administrative obligations.

3. Essential Registrations

Before subcontracting, ensure your Company is registered in:

Federal:

- <https://SAM.gov> – Required for all federal contracting.
- **SBA Profile** – to be visible to primes and teaming partners searching for small business partners.
- **UEI and NAICS / PSC Codes** – Identify your business and classify what you do.
 - <https://www.census.gov/naics/>
 - <https://www.acquisition.gov/psc-manual>

Texas State:

- **CMBL Registration** - <https://security.app.cpa.state.tx.us/public/login>
- **NIGP Codes:** <https://commbook.app.cpa.state.tx.us/>
- **Highway Districts:** <https://comptroller.texas.gov/help/vendor/highway-districts.php>

Socio-Economic Certifications [if applicable]: Can provide leverage. Be strategic in obtaining certification(s).

4. Prepare a Capability Statement:

- Include your core competencies, differentiators, past performance, and contact information.

5. How to Get Started:

- Focus and grow your **Commercial business** for **revenue generation** and **experience/past performance**.
- **Research Government Opportunities:**
 - **Federal:** Use USAspending.gov and [SAM.gov/Contract Opportunities](https://SAM.gov/Contract%20Opportunities) to find Federal Agencies and Prime Contractors awarding contracts in your industry exactly aligning with your Product or Services.
 - **Texas State:** Use Legislative Budget Board [LBB] and Electronic State Business Daily [ESBD] to find State Agencies and Prime Contractors awarding contracts in your industry exactly aligning with your Product or Services.
 - <https://contracts.lbb.texas.gov/> [LBB] / <https://www.txsmartbuy.gov/esbd> [ESBD]
- **Identify Potential Primes:**

Focus on large businesses with active Federal or State contracts that have small business subcontracting requirements.

 - **Directory of federal government prime contractors with subcontracting plans**
 - <https://www.sba.gov/document/support-directory-federal-government-prime-contractors-subcontracting-plans>
 - <https://www.gsa.gov/small-business/register-your-business/subcontracting-and-other-partnerships#Subcontracting>
- **Networking:**
 - Attend Agency Industry days, Matchmakers, SBA networking and Conference events.

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- Attend pre-solicitation, pre-proposal, pre-bid conferences.
- Use directories like SBA's SubNet and Dynamic Small Business Search (DSBS).
- **Outreach:**
 - Contact small business liaisons (SBLOs) with large contract firms.
 - Follow up consistently and professionally.

6. Compliance & Expectations

- **Written Agreement:** Get a Memorandum of Understanding [MOU] or written Agreement to avoid any disappointments.
- **Flow-Down Clauses:** Be aware that Prime will require to "Flow Down" to Sub-contractors (e.g., cybersecurity, reporting, ethics).
- **Timely Performance:** The government holds Prime Contractors accountable, so Sub-contractors must deliver reliably.
- **Documentation:** Keep records of performance, communications, and invoices.

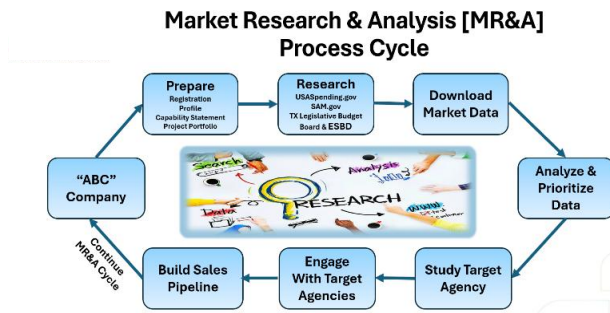
7. Resources

- **SBA's Subcontracting Directory:** sba.gov
- **SubNet for Subcontracting Opportunities:** https://subnet.sba.gov/client/dsp_Landing.cfm
- **APEX Accelerators** - Free Advice & Assistance for government contracting.

Additional References:

Access to a Trillion-Dollar Government Market

- The U.S. federal government is the world's largest buyer of goods and services, spending over **\$ 750 billion annually** through contracts. A sizable portion of this spending is allocated to **small business participation**, with mandated set-asides for specific categories (e.g., women-owned, veteran-owned, minority-owned businesses). Even more, the government awards contracts indirectly through **subcontracting**, where large prime contractors are required to include small businesses in their supply chains.
- **Why "Market Research & Analysis" matters:** Small businesses can tap into this stable and lucrative market by **marketing themselves effectively to both federal agencies and prime contractors looking for capable partners.**
- **Prime contractors look for dependable, compliant, and technically skilled small businesses. An active marketing approach positions a subcontractor as a credible, ready-to-go partner. Subcontractors must bring an opportunity to demonstrate active participation in a contract.**
- Strong **informal relationships are often more important than formal ones** in terms of getting a sub slot with a prime contractor. **Build the relationships!**
- A large prime is likely to have **(1) a procurement shop that develops organization-wide sub vehicles to support SB subcontracting goals of the organization** and **(2) program managers / division leaders who develop relationships with businesses that are key to their client / technical space.** Build relationships along both lines.



- **Refer to UH APEX Accelerator:**
 - **"Marketing to the Government" Quick Reference Guide & Presentation.**

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Sample Letter Template for Subcontractor to approach Prime Contractors

[Your Company Letterhead]

[Prime Contractor Name]

Date: MMM, DD, YYYY

[Title]

[Company Name]

[Street Address, City, State ZIP Code]

Subject: Request for Subcontracting Consideration under Government Contracts

Dear [Mr./Ms. Last Name],

I am writing to formally express our company's interest in subcontracting opportunities under your federal prime contracts. [Your Company Name] is a [small business/minority-owned/veteran-owned/8(a)/WOSB, if applicable], specializing in [brief description of your core capabilities - e.g., IT Solutions, Logistics, Engineering, and the like].

Our team brings # years of experience serving both commercial and public-sector clients, including [mentioning any relevant agencies or projects if applicable]. We are particularly interested in exploring subcontracting roles on [specific programs or contract vehicles if known] and are confident that our expertise in [key areas] aligns well with your mission objectives and performance goals.

Our Company registered in SAM ([CAGE Code] | [DUNS/UEI Number]) and maintain relevant certifications such as [ISO 9001, CMMI, SBA certifications, if applicable].

I have attached our capability statement for your review and would welcome the opportunity to meet or discuss how we may support your team on current or future projects. Please advise on the next steps or if there is a designated point of contact for subcontractor coordination.

Thank you for your time and consideration. We look forward to the possibility of collaborating.

Sincerely,

Digital Signature

[Your Full Name]

[Your Title]

[Your Company Name]

[Phone Number]

[Email Address]

Note: You can tailor this letter to a specific agency, contract, or certification (e.g., HUBZone, DBE).

Street Address, City, State ZIP Code --- This is in the letterhead footer

Website URL